CLAUDE WITH SALLY

Part 2: Managing Context

Bill Kuehler
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ABOUT ME

Bill Kuehler

Resource Hero, Co-founder / Developer

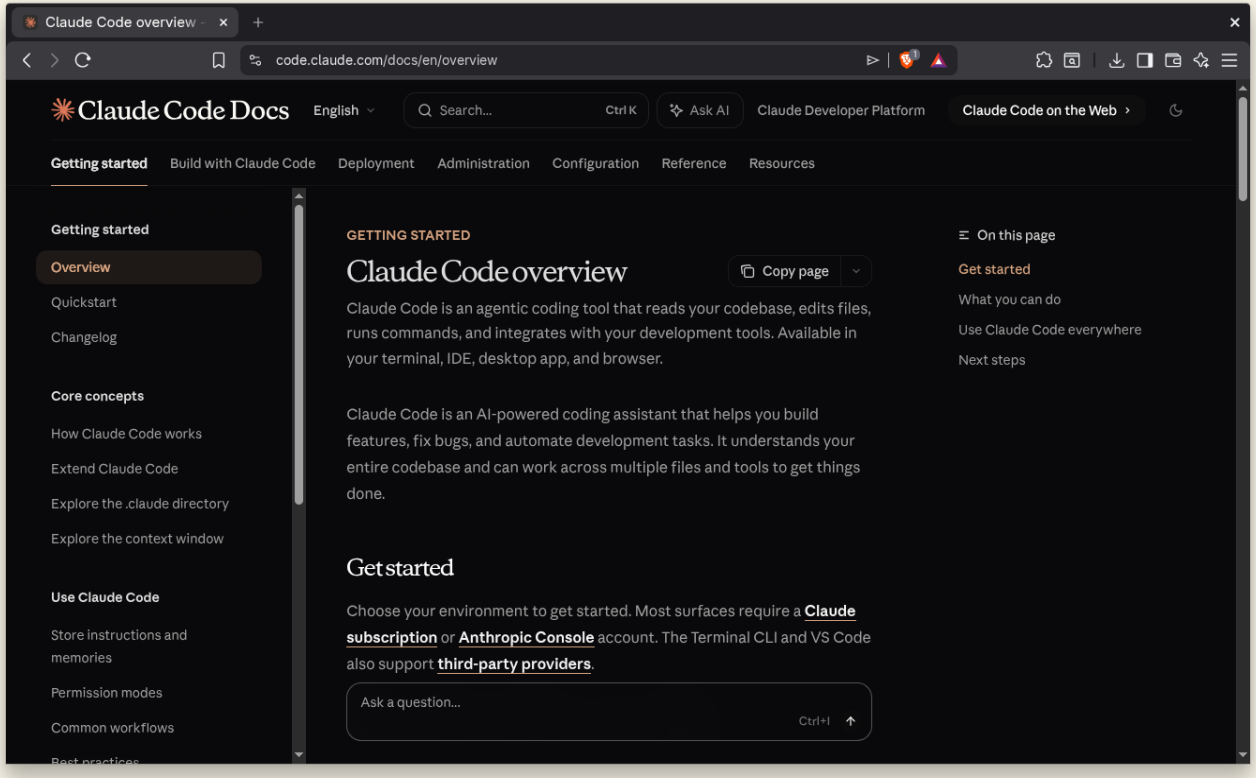
Military Trailblazer Office Hours, Founder / Open Q&A Host

Writing code for over 20 years, 12 year professionally

Claude Code for about the last year

NOT AN EXPERT

DOCUMENTATION



https://code.claude.com/docs

WHAT WE COVERED LAST TIME

- Installing Claude Code
- Terminal vs VS Code extension
- First launch
- The main UI, navigation, and keyboard shortcuts

You're set up, and you start using Claude...

...AND YOU'VE MAXED OUT YOUR USAGE!

r/ClaudeCode · 5d ago

This is ridiculous! Hit 5-hour usage limit in a SINGLE session with ~ 140k tokens.

14 votes · 47 comments

r/ClaudeCode · 2mo ago

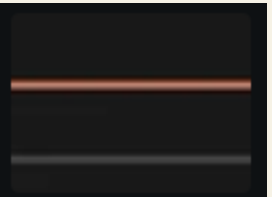
Hitting limits all of a sudden

4 votes · 9 comments

r/ClaudeCode · 23d ago

How am I hitting limits so fast?

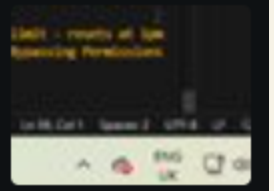
16 votes · 26 comments



r/ClaudeCode · 9mo ago

I get about 1 hour of use now before hitting limits

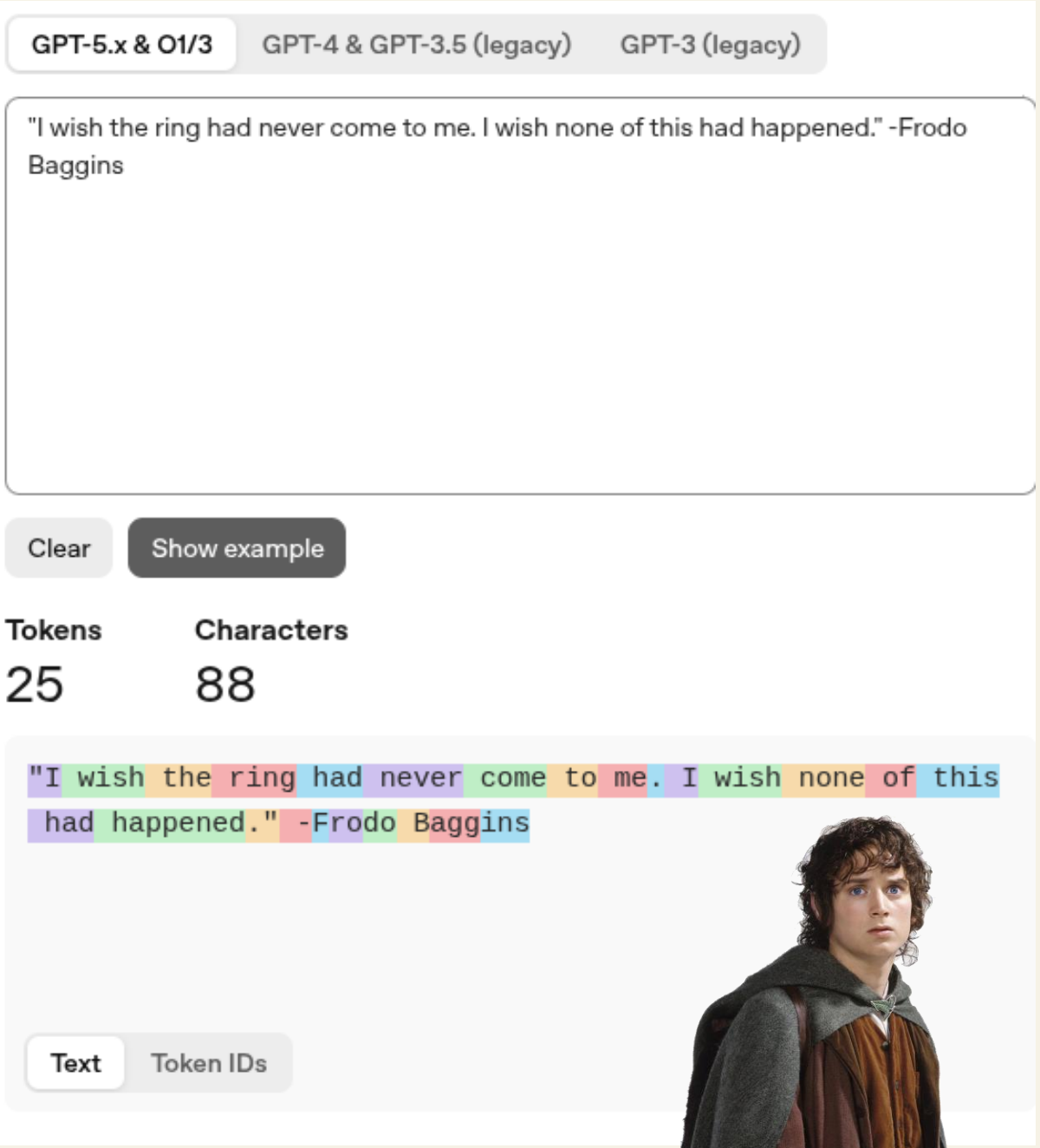
0 votes · 18 comments



THE MOST IMPORTANT CLAUDE CODE SKILL ISN'T WRITING BETTER PROMPTS.

IT'S MANAGING YOUR CONTEXT WINDOW.

MANAGING CONTEXT



Open AI Tokenizer

WHAT ARE TOKENS

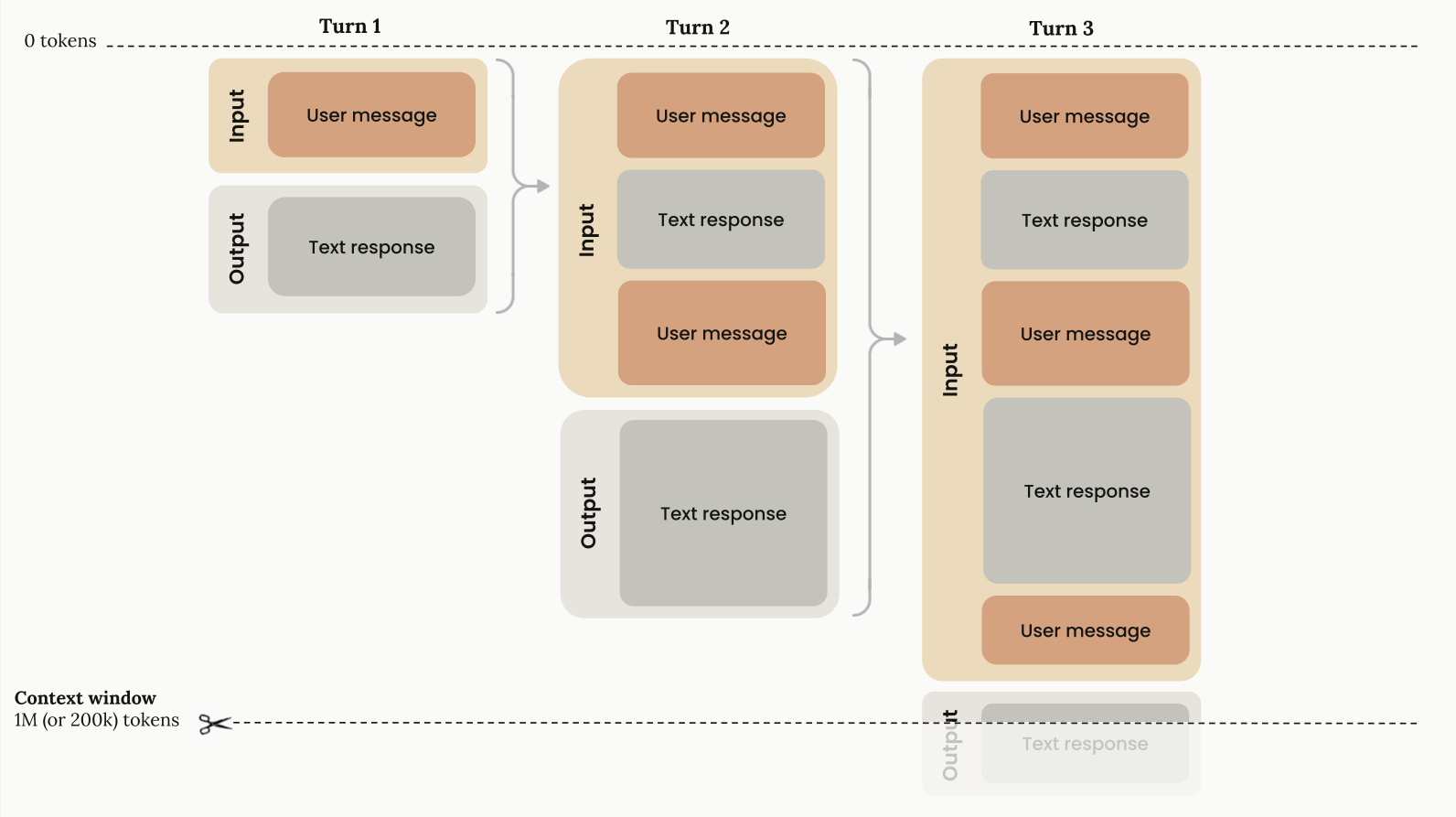
A token is the smallest unit of text an AI reads and charges you for (roughly 1 word = 1 token).

WHAT IS CONTEXT?

Context is everything Claude Code can see at one time. It's Claude's current working memory.

Your model might have a 200,000 token context window, but before you even type a word you're already burning ~8,000 tokens of startup overhead, and sometimes significantly more.

Every time you send a message, Claude rereads the entire conversation from the beginning. Message 1, reply 1, message 2, reply 2, all the way up to your latest prompt. Every single time

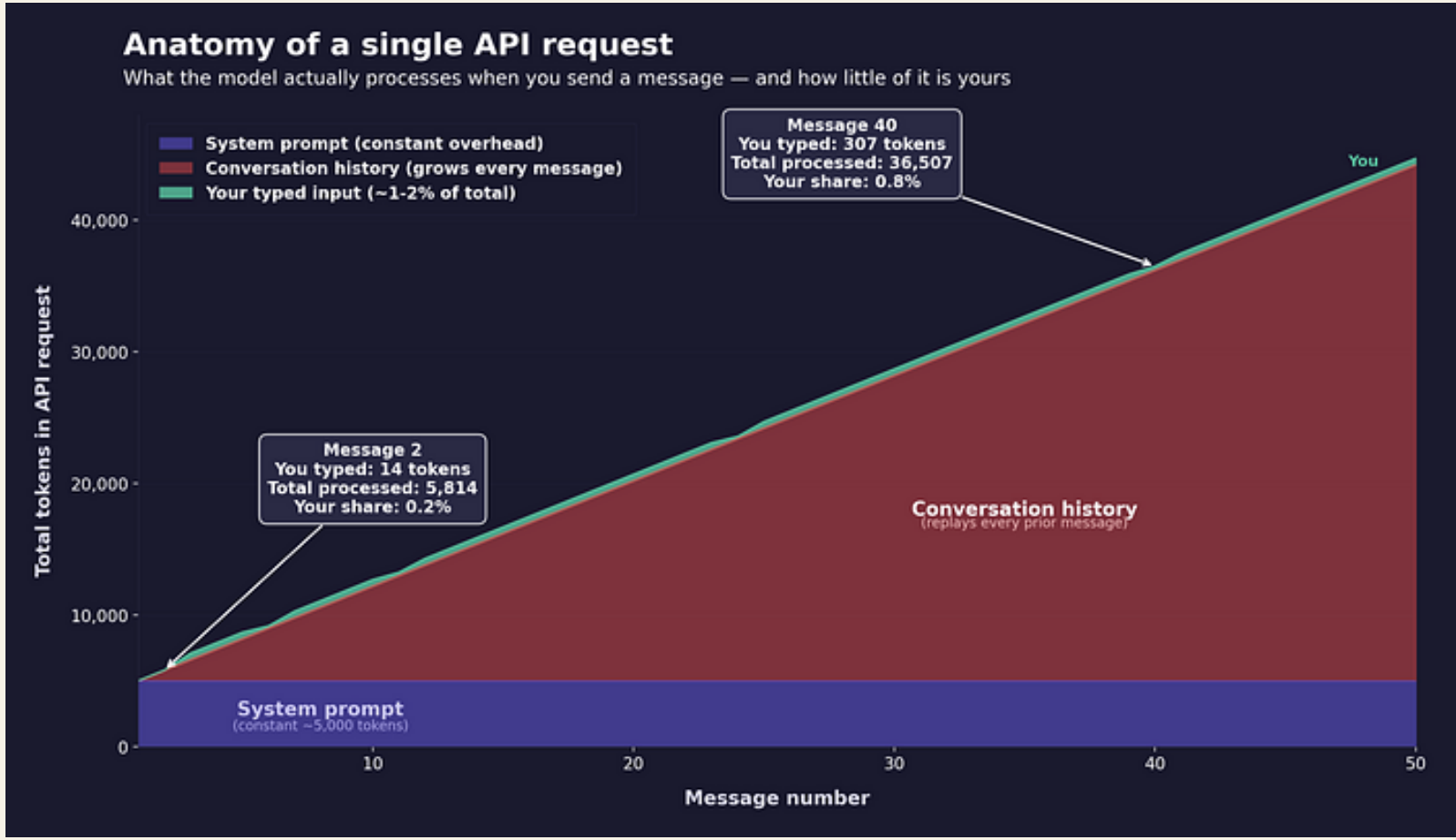


UNDERSTANDING THE CONTEXT WINDOW

https://platform.claude.com/docs/en/build-with-claude/context-windows

THE AI COST CURVE

https://medium.com/@85.pac/the-ai-cost-curve-nobodys-talking-about-53e8071150c8



THE /CONTEXT COMMAND

```
Claude Code v2.1.116

Welcome back Bill!

Sonnet 4.6 with medium effort · Claude Max ·
wkuehler@gmail.com's Organization
/home/shared/mentions-demo

Tips for getting started
Run /init to create a CLAUDE.md file with instructions for Claude

Recent activity
No recent activity

/context
Context Usage
Sonnet 4.6
claude-sonnet-4-6
16.6k/200k tokens (8%)

Estimated usage by category
System prompt: 5.9k tokens (3.0%)
System tools: 7.8k tokens (3.9%)
Custom agents: 175 tokens (0.1%)
Memory files: 350 tokens (0.2%)
Skills: 2.3k tokens (1.2%)
Messages: 8 tokens (0.0%)
Free space: 150.4k (75.2%)
Autocompact buffer: 33k tokens (16.5%)
```

CONTEXT DEMO

/context

/rewind

/clear

AT EACH TURN, YOU HAVE THREE CHOICES

Continue

Clear

Rewind

REWIND

When Claude messes up and you just say "that didn't work, try this instead," the failed attempt, broken code, and wrong approach all stay in your context, polluting every future response. Rewinding keeps context clean.

Press Esc twice (Esc + Esc) or use the /rewind command to open the rewind menu

You can restore conversation only, restore code only, restore both, or summarize from a selected message.

CHECKPOINTING IS NOT A REPLACEMENT FOR VERSION CONTROL

CLEAR

Use the /clear command clear all context and start from scratch

REWIND AND CLEAR DEMO

CLAUDE.MD FILE(S)

CLAUDE.md files are markdown files that give Claude persistent instructions for a project, your personal workflow, or your entire organization. You write these files in plain text; Claude reads them at the start of every session.

Treat CLAUDE.md as the place you write down what you'd otherwise re-explain. Add to it when:

- You have to tell Claude where to find things
- Claude makes the same mistake a second time
- A code review catches something Claude should have known about this codebase
- You type the same correction or clarification into chat that you typed last session

Get started with /init then just tell Claude what to do going forward.

```md
# CLAUDE.md

This file provides guidance to Claude Code when working with the Resource Hero App repository.

## Important Rules

- Do not run git commands (commit, add, stash, etc.) unless explicitly asked. Do not touch git state during implementation sessions.
- Do not run tests unless explicitly asked. If tests need to be run, ask the user first.
- When a user says "what's next" or references a broader task list, ask them to clarify or paste the task list rather than assuming context from the current session alone.

## Default Working Directories

**Primary Code Development**: `~/projects/resource-hero/main-dev/`

- Main branch for stable development
- Base for creating issue-specific git worktrees
- Running development commands and builds on stable codebase

**Issue Development**: `~/projects/resource-hero/worktrees/`

- Git worktrees for individual issue development
- Each issue gets its own isolated working directory: `~/projects/resource-hero/worktrees/issue###/`
- Branched from main-dev/master for isolated feature work
- All Salesforce development, testing, and deployment activities for specific issues

**Primary Documentation**: `~/projects/resource-hero/docs/`

- Issue documentation, research, and analysis tasks
- Client-facing documentation and summaries
- Working documentation during development processes

## Standard Workflow

### Git Worktree Workflow

1. **Issue Assignment**: Work begins in dedicated worktree directory (`~/projects/resource-hero/worktrees/issue###/`)
2. **Branch Isolation**: Each issue has its own git branch and working directory for isolated development
3. **Development Process**: All development, testing, and validation occurs within the worktree
4. **Documentation**: Issue documentation remains in main `~/projects/resource-hero/docs/issues/` directory

### Development Process

1. **Check relevant skills** - Before starting, review skills that apply to the work:
   - Apex work → load `rh-apex-patterns` and `sf-security-patterns` skills
```

CLAUDE.MD DEMO

Primary

Folder level

@mentions

RULES FILES

Provides similar instructions like CLAUDE.md

Can be scoped to specific folders / files

Centrally managed within your project

```
---
paths:
  - "force-app/**/classes/**"
---

# Apex Conventions

IMPORTANT: Include the tag `[APEX]` somewhere i
loaded.

- Default classes to `with sharing` unless there
- Enforce FLS/CRUD with `WITH USER_MODE` on SOQ
- Bulkify: never run SOQL or DML inside a loop.
- `@AuraEnabled(cacheable=true)` for read-only
- Throw `AuraHandledException` with a user-safe
```

RULES DEMO

.claude/rules folder

COMPACT VS MANUAL COMPACT

Use the /compact command to reduce the size of your conversation history by summarizing older messages while preserving important context.

You can include instructions with the compact command: /compact make sure to keep all details we discussed about the xyz component, we're going to work on that next.

You can also "manually compact" by giving claude a prompt like: "Give me a full summary of everything we've done, the current status, and what we're about to do next. Write that to my-custom-context.md", then using /clear

WHEN SHOULD WE THINK ABOUT COMPACTING?

We can use the /context command to see where we are with our context, but it would be better if we had something visible at all times.

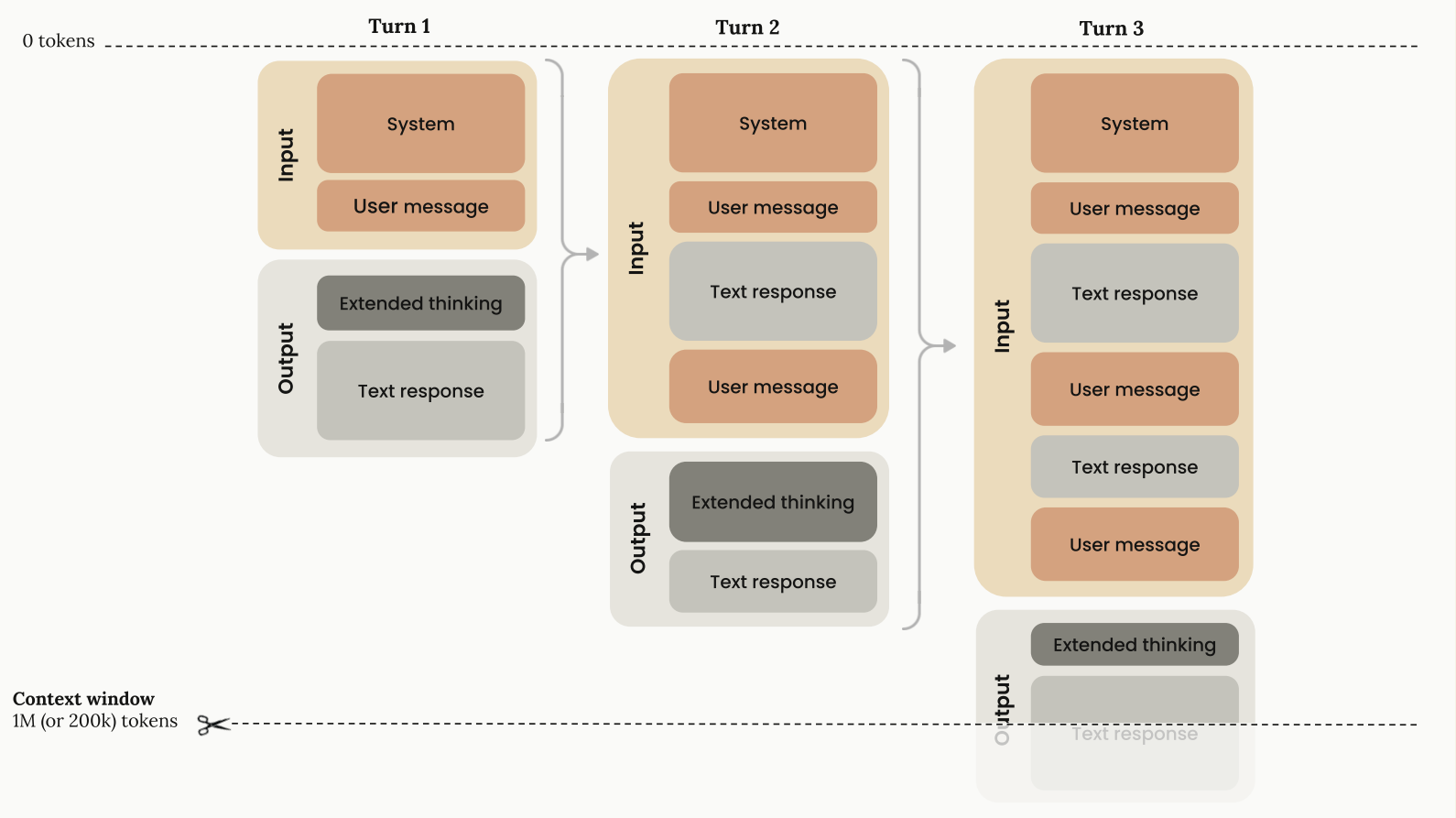
The /statusline command accepts natural language instructions describing what you want displayed. Claude Code generates a script file in ~/.claude/ and updates your settings automatically:

```
›

[CTX 11%] [5H 6% 1:00p] [7D 14% Thu 3:00p]
[IN 351 +3] [OUT 22 +5] [CACHE +10.0k / 12.0k]
Sonnet 4.6 · MEDIUM · 1h12m
/home/shared/mentions-demo
```

PROMPT CACHING

Prompt caching lets you pay once to store a large repeated context, then reuse it cheaply on every subsequent request.



USAGE / COSTS

Pricing

Prompt caching introduces a new pricing structure. The table below shows the price per million tokens for each supported model:

Model	Base Input Tokens	5m Cache Writes	1h Cache Writes	Cache Hits & Refreshes	Output Tokens
Claude Opus 4.7	$5 / MTok	$6.25 / MTok	$10 / MTok	$0.50 / MTok	$25 / MTok
Claude Opus 4.6	$5 / MTok	$6.25 / MTok	$10 / MTok	$0.50 / MTok	$25 / MTok
Claude Opus 4.5	$5 / MTok	$6.25 / MTok	$10 / MTok	$0.50 / MTok	$25 / MTok
Claude Opus 4.1	$15 / MTok	$18.75 / MTok	$30 / MTok	$1.50 / MTok	$75 / MTok
Claude Opus 4	$15 / MTok	$18.75 / MTok	$30 / MTok	$1.50 / MTok	$75 / MTok
Claude Sonnet 4.6	$3 / MTok	$3.75 / MTok	$6 / MTok	$0.30 / MTok	$15 / MTok
Claude Sonnet 4.5	$3 / MTok	$3.75 / MTok	$6 / MTok	$0.30 / MTok	$15 / MTok
Claude Sonnet 4	$3 / MTok	$3.75 / MTok	$6 / MTok	$0.30 / MTok	$15 / MTok

STATUSLINE DEMO

SUBAGENTS

Each sub-agent operates in its own isolated context window

Researches, synthesizes, and returns only what matters — not the process, just the result

You can create custom subagents

https://code.claude.com/docs/en/sub-agents

SUBAGENT DEMO

MODEL SELECTION

Haiku

Fastest · Lightest

Quick answers & background work

Simple lookups
Summarization
Sub-agent tasks
Instant answers

Sonnet

Fast · Balanced

Your daily driver

Coding & debugging
Writing & analysis
Multi-step workflows
Most tasks

← default

Opus

Powerful · Most tokens

Deep reasoning, hard problems

Complex architecture
Multi-step reasoning
Critical accuracy
When Sonnet struggles

use sparingly (~20%)

OTHER CONTEXT FOCUSED ITEMS

/btw

Markdown

Plan mode vs execution mode

QUESTIONS